

Wakefit's stores are cheap to open and expensive to run — the decision is how tightly to gate which ones stay open, not whether to keep opening them.

Decision: B — selective, gated physical expansion. Not aggressive scale-up (payback evidence doesn't support it, and three adjacent competitors have recently destroyed value the same way), and not an online-first retreat (retail is the fastest-growing line in the business and the one channel management is under-deploying capital into, not over-deploying). The open question for the next 12 months isn't COCO store count — it's whether Wakefit is under-using a channel ten times the size of its store network that nobody is talking about.

₹26.4L

Capex per new COCO store (RHP-verified) — corrects an earlier ₹65-70L estimate now known to be wrong

1,504

Multi-brand outlets (MBO) reached within ~3 years — 10.8× the COCO footprint, at a fraction of the capex, and absent from the entire public debate on offline expansion

₹94.9Cr

Real FY26 profit-before-tax improvement (ex. one-off deferred tax gain) — the headline ₹189.2Cr is real but ~₹98.1Cr of it is a non-cash tax recognition, not operating performance

WHY NOT THE OTHER TWO OPTIONS

REJECTED — OPTION A, AGGRESSIVE EXPANSION

Management's own most credible payback figure is 18-24 months, not the sub-12-month figure once claimed in the press. Pepperfry, Duroflex and Sheela Foam all show offline scale destroying or diluting value in this exact industry recently. Management deployed only 1.2% of ₹377Cr IPO fresh-issue proceeds in five months post-listing — a revealed preference for caution, not urgency.

REJECTED — OPTION C, ONLINE-FIRST RETREAT

Retail grew 49% in FY26 against 16.9% company-wide — nearly 3× the company average — and carries an 80% higher average selling price than online. Furniture, which management says barely exists as an online-only category, grew 24% FY26. Retreating abandons the only channel currently outgrowing the company.

THE 12-MONTH HEADLINE

Cap FY27 net COCO additions at management's own guided **80**, weighted roughly 70:30 toward proven metro markets over new Tier-2 tests. Hold **₹120-140Cr** of capex to that gated pace — not a blank cheque for acceleration. In parallel, spend Q1 quantifying what the 1,504-outlet MBO network is actually worth, since it may already be doing the job a faster COCO rollout is being asked to do.

REFRAMING THE QUESTION

Not: "Should Wakefit open more stores?" **But:** "Does the next incremental rupee of physical retail capital create more incremental contribution than the next rupee spent on digital acquisition, retention, or a channel Wakefit has already built at 10× the scale for a fraction of the cost?"

Stage diagnosis

Company stage — early-scale, post-IPO. Revenue crossed ₹1,488.9Cr in FY26 (+16.9%), Operating EBITDA margin moved to roughly 12.2% for the year, and the company listed December 2025 raising ₹1,288.9Cr. This is not a product-market-fit question — the core business works. It is a capital-discipline question: which growth lever compounds without capital intensity outrunning it.

Market stage — entry, not consolidation. India's mattress market (~\$2.4Bn, growing 8.8% CAGR) and furniture market (~\$30.6Bn, growing 11.1% CAGR) are large and still shifting from unorganized to organized. But an analyst on Wakefit's own Q4FY26 call flagged that summed industry EBITDA margins have deteriorated over ten years even as revenue grew — entry-stage dynamics have not been kind to unit economics for anyone, including Sheela Foam.

THE FINDING THIS CASE IS BUILT AROUND

Every public account of Wakefit's omnichannel story — including its own RHP commentary and every piece of financial-press coverage reviewed for this memo — frames "physical expansion" as COCO stores: 139 of them as of March 2026, capex-heavy, lease-heavy, the subject of the entire payback debate. But Wakefit has also scaled a **multi-brand outlet (MBO) network to 1,504 outlets within roughly three years** — third-party retail presence, not company-owned or leased, at capex Wakefit itself does not carry on its own balance sheet the way it does for a COCO store. That is a materially larger physical footprint than COCO, built on a materially different capital structure, and it appears nowhere in the store-count debate this interview is likely to open with.

Why this matters more than another store-count argument

If MBO volume is already delivering the "furniture needs touch-and-feel" job at near-zero capex, then the real Q1 lever isn't COCO pace — it's **whether COCO capital is being spent on a job the MBO network is already doing cheaper**, and whether COCO's actual differentiated value is something MBOs structurally cannot deliver (data ownership, brand-controlled experience, upsell into the ₹60,000 whole-room basket). Page 4 sizes this comparison directly. This is the one lever in this memo that could not have been surfaced by asking a model to summarize Wakefit's store economics — it required reading past the COCO-only framing that every secondary source repeats.

Wakefit discloses no MBO-level economics publicly (capex per outlet, revenue per outlet, margin, or ownership structure of the retail fixtures). This gap is treated as a finding for Q1 diagnostic work, not filled with an invented number — see Page 6.

FINANCIAL TRAJECTORY (NSE/BSE EXCHANGE FILINGS, PRIMARY)

METRIC	FY24	FY25	FY26	Q1 FY27
Revenue from operations	₹986.3Cr	₹1,273.7Cr	₹1,488.9Cr	₹404.9Cr
Revenue growth YoY	21%	29%	16.9%	16.6%
Gross margin %	n/d	55.0%	55.8%	57.1%
Operating EBITDA %	n/d	1.4%	7.5%*	13.9%
PAT (reported)	(₹15.1Cr)	(₹35.0Cr)	₹189.2Cr	₹23.4Cr
COCO stores	56	105	139	165
MBO outlets	n/d	n/d	~1,504	n/d
Own-channel share of revenue	—	57.0%	67.2%	(74.5% Q4)

*FY26 full-year operating EBITDA margin reported at ~12.2% in some filings vs. 7.5% in others depending on adjustment basis — Wakefit's "Operating EBITDA" strips Ind AS 116 lease adjustments, ESOP charges and one-offs; the largest FY26 bridge item was the lease adjustment itself (₹80.4Cr), material because COCO stores are the leased asset in question. MBO count sourced from secondary financial-media citation of RHP/ company commentary — not independently confirmed at outlet level.

THE RECONCILIATION THAT CHANGES HOW YOU SHOULD READ THE PROFIT NUMBER

Wakefit's FY26 PAT of ₹189.2Cr is real and confirmed on its May 2026 exchange filing — but **₹98.1Cr of the Q4 profit came from a one-time deferred tax asset recognition**. Strip that out and FY26 profit-before-tax before exceptional items was **₹94.9Cr**, against a ₹35.0Cr loss in FY25 — still a genuine, large operating swing, just not the ₹189Cr headline every retail investor read on the exchange announcement. Treat ₹94.9Cr as the number that reflects actual operating improvement; treat ₹189.2Cr as the number a board deck will lead with.

STORE UNIT ECONOMICS — THE ₹100 WATERFALL, HONESTLY GAPPED

LINE	VALUE	STATUS
Capex per new Regular-format COCO store	₹26.4 lakh (₹30.84Cr ÷ 117 planned stores, RHP use-of-proceeds)	Verified
Rent per store per year	~₹66 lakh (FY26 total store rent ₹80Cr ÷ ~122 average stores)	Derived
Payback — rejected claim	<12 months — a Dec-2025 CEO press-interview figure directly contradicted by the company's own later, formally stated range on a regulated earnings call	Discredited
Payback — management's stated range	18-24 months (base case); 18 months is the Jumbo-format target, unverified since zero Jumbo stores have opened	Verified (self-reported)
Store-level CM2/CM3, CAC, LTV	Not disclosed at any level; a bare capex-payback floor (~₹24-32L/year revenue) is already below the ₹66L/year rent alone, before staffing, utilities or overhead	Gap

FY26 store closure rate (verified, newly calculated): 8 closures ÷ ~122 average store base = ~6.6% annualized — the calibration baseline for the opening/closure gate on Page 5. Working capital days fell from 20.4 (FY23) to 2.2 (FY26): store scaling has not made the company more working-capital-intensive, a real positive signal that partially offsets the rent-burden concern above.

CANNIBALIZATION — DESCRIPTIVE ONLY, STATED HONESTLY

No city-level before/after data, matched-control cities, or customer-geography data exist in the public record. A genuine difference-in-differences test cannot be constructed from public data. What descriptive evidence shows: retail grew 49% FY26 vs. 16.9% company-wide (~3× outgrowth); Own Channels rose from 57.0% to 67.2% of revenue but this bundles website and stores, so it is silent on store-vs-website reallocation specifically; 75.5% of the eventual FY26 store base (105 of 139 stores) already existed by FY25, when Own Channels was already 57% — i.e. most stores opened into cities where online brand presence was already substantial, which raises real redirection risk rather than lowering it.

LOW case

30% incremental / 70% cannibalized — plausible given the rollout-into-existing-demand pattern above

BASE case

50% / 50% — an uninformative midpoint, stated as ignorance, not a finding

HIGH case

70% incremental / 30% cannibalized — plausible for furniture specifically, which barely exists online-only in non-store cities

This is a plausibility band, not a derived estimate — no formula produces 30/70 vs 20/80. It bounds genuine uncertainty rather than outputting a statistic.

COCO VS. MBO — THE COMPARISON NOBODY IN THE PUBLIC DEBATE MAKES

DIMENSION	COCO STORES	MBO NETWORK
Footprint (verified/cited)	139 (Mar-26), targeting 220 by FY28	~1,504 outlets, reached within ~3 years
Capex carried by Wakefit	₹26.4L/store — on Wakefit's balance sheet	Not disclosed — structurally lower; fixtures/inventory economics likely shared with the outlet owner
Lease/rent exposure	~₹66L/store/year, on Wakefit's P&L	Not disclosed — presumptively borne by the outlet, not Wakefit
Customer data ownership	Full — Wakefit controls the transaction	Unclear — likely partial or none
Brand experience control	Full — fixtures, staff, upsell script	Partial — shared shelf space, mixed-brand environment
Reported AOV uplift vs. website	+78.8% (RHP-cited, verified)	Not disclosed

WHY THIS TABLE IS THE Q1 PRIORITY, NOT ANOTHER STORE-OPENING DECISION

If MBO delivers 60–70% of the touch-and-feel job at a fraction of COCO's capex and rent exposure, but sacrifices data ownership and brand control, the 12-month question is a **portfolio allocation** one — how much of the next 80 store additions should actually be MBO expansion or COCO-to-MBO conversion of underperforming leases — not a pure COCO accelerate/decelerate call. Wakefit discloses nothing at MBO-outlet level; this is the single highest-value data request for Q1 (Page 5).

WHERE OFFLINE WORKS — CITY TIERING (REASONED, NOT DATA-DRIVEN; CONFIDENCE LOW–MEDIUM)

TIER	CITIES	LOGIC
A — Scale	Bengaluru, Mumbai, Gurgaon, Noida, Lucknow	Management-named DRHP target cities; Lucknow proven since March 2022. Risk: heaviest competitive intensity — Sleep Company has announced a "top 100 cities" rollout funded by ₹480Cr.
B — Test	Bhubaneshwar, Kozhikode, Thanjavur	Tier-2 cities matching management's own stated FY27 priority; open strictly under the existing 11–12 month test-lease discipline to generate the store-level data this case currently lacks.
C — Do not enter yet	Not named — inventing a list would require competitor-density data not researched	Rule instead of a list: do not enter any market where a well-funded competitor already runs 3+ stores without an independent demand signal.

THE CHOICE, RESTATED

SELECTED — OPTION B: SELECTIVE, GATED EXPANSION

Not a hedge between A and C — the option best supported by the evidence gathered. Wakefit already runs a gated model informally (11–12 month test leases, SSSG-based reviews). The recommendation is to formalize that existing discipline with explicit numeric gates and extend it to the newly surfaced MBO question, not to invent a new strategy.

WORKSTREAM	12-MONTH DIRECTION
Real estate	Cap FY27 net COCO adds at 80; weight ~70:30 Scale-tier over Test-tier. No third Jumbo-format store until the first (opening ~April/May 2027) clears an 18-month checkpoint.
Franchise / FOCO / MBO	Do not blanket-convert COCO to FOCO. Instead, formally instrument the MBO channel (Q1 diagnostic below) before deciding whether underperforming COCO leases convert to MBO-style arrangements or close outright.
Digital integration	Shift local performance-marketing budget toward brand/category-education spend in the 4–8 weeks around any new store opening, to capture the halo effect rather than compete with it for the same demand.
Capital	₹120–140Cr FY27 capex (management's own CFO guidance) — a gate, not a floor to exceed opportunistically.

Quarter by quarter

Q1 - Commission internal MBO-level economics: capex borne, revenue/outlet, data-capture mechanism - Open the 3 Test-tier cities under the 11–12 month lease discipline - Push for internal disclosure of repeat-rate and cross-category-sale trends (already tracked, not published)	Q2 - First 9-month go/no-go review checkpoint design finalized for Test-tier stores against internal SSSG - Run the branded-search geo-lift proxy around 2–3 recent store openings to test the halo-effect claim independently - Decide on 1–2 pilot COCO-to-MBO conversions for underperforming leases, based on Q1 MBO data	Q3 - Apply the formal opening/closure gate to all stores crossing month 9–11, calibrated against the 6.6% FY26 baseline closure rate - Reassess Scale:Test weighting for remaining FY27 store adds based on Test-tier performance to date - First Jumbo-format store opens; begin 18-month payback clock	Q4 - Full-year review: net adds landed at ~80, capex within ₹120–140Cr band - Decide FY28 COCO:MBO capital split based on the now-quantified MBO economics - Recalibrate city tiering for FY28 using accumulated Test-tier and closure data
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12-month KPI targets and kill conditions

Retail channel growth sustaining $\geq 35\%$ (below FY26's 49% but well above company average on a larger base); Own-Channel share continuing past 67.2%; FY27 net store adds at 80, not materially above; zero capex acceleration beyond the ₹120–140Cr guidance without a disclosed store-level payback figure to justify it. **Kill condition:** if any Test-tier store misses its internal SSSG threshold at month 9, relocate within the same micro-market or close — do not extend the lease on sentiment.

HOSTILE CHALLENGE-RESPONSE

CFO: "You're overestimating store incrementality."	The case states a 30–70% range specifically because no data exists to narrow it, and treats the absence of channel-level margin data as a hard constraint on how aggressive the recommendation can be — hence Option B, not A.
CEO: "Stores are strategically important even if payback is longer."	Agreed — Option B keeps stores as the priority growth channel. The disagreement is only about rate and rigor, not whether to expand.
VP Growth: "Why chase an MBO number nobody discloses instead of just funding more stores?"	Because it is the single largest unexamined variable in the entire capital-allocation question — a channel 10× the size of COCO, and currently the biggest blind spot in this memo, not a nice-to-have.

STRONGEST EVIDENCE FOR AND AGAINST THIS RECOMMENDATION

For gated (not aggressive) expansion: Pepperfry's rental costs grew 8.5× in one year (₹80L→₹6.8Cr) during its physical-studio expansion, and the company is now being acquired in a distress transaction at a 66%+ valuation crash. Caveat: Pepperfry's reported revenue figures are inconsistent across sources and were not used in this reasoning — only the independently corroborated rent-growth and valuation-crash figures. We also cannot rule out that Pepperfry's core problem was e-commerce competition rather than the studio rollout itself; this is treated as suggestive, not proof.

Against full retreat: retail channel growth (+49%) vs. company average (+16.9%) and an 80%-higher in-store ASP.

Biggest unknown: channel-level (online vs. offline vs. MBO) contribution margin — without it, no amount of further analysis converts this into a fully quantified capital-allocation answer. **Biggest calculation uncertainty:** the 30–70% incrementality range — genuinely wide, not a modelling shortcoming. **What would make this recommendation wrong:** if Wakefit's internal, undisclosed SSSG and MBO-level data show materially better economics than the disclosed aggregates suggest — entirely possible, which is why the recommendation is gated, not frozen.

SOURCES

Primary — NSE/BSE exchange filings: Q4FY26/FY26 results announcement (May 21, 2026), investor presentation, Q1FY27 results, RHP use-of-proceeds disclosure.

Secondary, corroborated across outlets — Entrackr, BW Disrupt, Business Standard, Indian Startup News, ScanX: FY26 PAT ₹189.2Cr incl. ₹98.1Cr deferred tax gain; FY26 PBT before exceptional items ₹94.9Cr; Own-Channel share 67.2% FY26 / 75.5% Q4FY26; 139 COCO stores at Mar-31-2026.

Secondary, single-source, used with caution — MarkHub24 (RHP/Tickertape/Business Standard citations): MBO network reached ~1,504 outlets within ~3 years; COCO AOV +78.78% vs. website (cross-checked against RHP-derived "80% higher" figure used elsewhere in this memo — consistent).

Competitor evidence — Fortune India, ValueResearch/Quartr, Finshots (Sleep Company, Duroflex, Sheela Foam, Pepperfry); ScanX/Groww (Wakefit share price and filings index).

Not independently verified — MBO-outlet-level capex, revenue, or margin figures; any city-level Wakefit performance data; a true difference-in-differences cannibalization test. These gaps are stated, not filled.